BARCLAYS BANK OF KENYA LIMITED FINANCIAL STATEMENTS

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the Audited Group results for the period ended 31 December 2015

		Bank		Group	
		December 2014 Shs '000 Audited	December 2015 Shs '000 Audited	December 2014 Shs '000 Audited	December 2015 Shs '000 Audited
I	STATEMENT OF FINANCIAL POSITION				
A	ASSETS				
1	Cash balances (both local and foreign)	6,956,130	6,126,056	6,956,130	6,126,056
2	Balances due from Central Bank of Kenya	17,611,517	12,054,439	17,611,517	12,054,439
3	Kenya Government and other securities held for dealing purposes	6,133,921	2,245,258	6,133,921	2,245,258
4	Financial Assets at fair value through profit and loss	-	-	-	-
a)	Investment Securities:	-	-	-	-
	Held to Maturity:	-	-	-	-
	a. Kenya Government securities	-	-	-	-
	b. Other securities	-	-	-	-
b)	Available for sale:	51,032,847	45,805,987	51,032,847	45,805,987
	a. Kenya Government securities	51,032,847	45,347,437	51,032,847	45,347,437
	b. Other securities	-	458,550	-	458,550
6	Deposits and balances due from local banking Institutions	1,000,000	-	1,000,000	-
7	Deposits and balances due from banking Institutions abroad	206,504	252,867	206,504	252,867
8	Tax recoverable	398,852	134,397	398,852	134,397
9	Loans and advances to customers(net)	125,423,371	145,378,553	125,423,371	145,378,553
10	Balances due from banking institutions in the group	4,754,595	13,951,455	4,754,595	13,951,455
11	Investment in Associates	-	-	-	-
12	Investment in Subsidiary Companies	275,678	275,678	-	-
13	Investment in Joint Ventures	-	-	-	-
14	Investment properties	-	-	-	-
15	Property and equipment	2,846,034	3,324,019	2,846,034	3,324,019
16	Prepaid Operating Rental Leases	57,584	56,329	57,584	56,329
17	Intangible assets	2,490,927	1,987,740	2,490,927	1,987,740
18	Deferred Tax	253,844	474,685	253,844	474,685
19	Retirement Benefit Asset	88,747	255,600	88,747	255,600
20	Other assets	6,587,573	8,829,635	6,587,561	8,829,635
21	TOTAL ASSET	226,118,124	241,152,693	225,842,434	240,877,020
B	LIABILITIES				
22	Balances due to Central Bank	520	-	520	-
23	Customers' deposits	164,778,726	165,358,507	164,778,726	165,082,830
24	Deposits and balances due to Banking institutions (Local)	-	-	-	-
25	Deposits and balances due to Banking institutions (Foreign)	121,129	187,385	121,129	187,385
26	Other money market deposits	-	-	-	-
27	Borrowed Funds	-	-	-	-
28	Balances due to banking institutions in the group	13,290,936	27,816,476	13,290,936	27,816,476
29	Tax payable	-	-	-	-
30	Dividends payable	-	-	-	-
31	Deferred tax liability	-	-	-	-
32	Retirement Benefit Liability	-	-	-	-
33	Other liabilities	9,740,722	8,073,958	9,468,035	8,073,958
34	TOTAL LIABILITIES	187,932,032	201,436,326	187,659,344	201,160,649
C	SHAREHOLDERS' FUNDS				
35	Paid up / Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768
36	Share premium / (discount)	-	-	-	-
37	Revaluation reserves	(307,798)	(962,307)	(307,798)	(962,307)
38	Retained earnings / (Accumulated losses)	29,914,996	32,468,100	29,914,996	32,468,100
39	Statutory loan loss reserve	431,589	926,927	431,589	926,927
40	Other reserves	-	222,654	-	222,654
41	Proposed dividend	5,431,536	4,345,229	5,431,536	4,345,229
42	Capital Grants	-	-	-	-
43	TOTAL SHAREHOLDERS' FUND	38,186,091	39,716,371	38,186,091	39,716,371
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUND	226,118,124	241,152,697	225,845,434	240,877,020
II	STATEMENT OF COMPREHENSIVE INCOME				
1	INTEREST INCOME				
1.1	Loans and Advances to customers	16,707,198	18,839,544	16,707,198	18,839,544
1.2	Government securities	4,586,553	5,140,534	4,586,553	5,140,534
1.3	Deposits and placements with banking institutions	211,486	103,354	211,486	103,354
1.4	Other interest income	1,435,807	1,202,316	1,435,807	1,202,316
1.5	Total interest income	22,941,044	25,285,748	22,941,044	25,285,748
2	INTEREST EXPENSES				
2.1	Customer deposits	2,912,416	4,275,161	2,912,416	4,275,161
2.2	Deposits and placements with banking institutions	134,852	554,602	134,852	554,602
2.3	Other interest expenses	290,162	45,464	290,162	45,464
2.4	Total interest expenses	3,337,430	4,875,227	3,337,430	4,875,227
3	NET INTEREST INCOME	19,603,614	20,410,521	19,603,614	20,410,521
4	NON - OPERATING INCOME				
4.1	Fees and commissions income on loans & Advances	1,537,123	1,563,814	1,537,123	1,563,814
4.2	Other fees and commissions	4,827,151	5,086,219	4,827,151	5,086,219
4.3	Foreign exchange trading income	2,042,437	2,033,747	2,042,437	2,033,747
4.4	Dividend income	-	-	-	-
4.5	Other income	278,163	367,459	278,163	367,459
4.6	Total non-interest income	8,684,874	9,051,239	8,684,874	9,051,239
5	Total Operating Income	28,288,488	29,461,760	28,288,488	29,461,760
6	OPERATING EXPENSES				
6.1	Loan loss provision	1,404,959	1,765,778	1,404,959	1,765,778
6.2	Staff costs	8,100,426	9,305,169	8,100,426	9,305,169
6.3	Directors emoluments	25,003	21,625	25,003	21,625
6.4	Rental charge	1,102,655	1,202,064	1,102,655	1,202,064
6.5	Depreciation on property and equipment	486,912	486,871	486,912	486,871
6.6	Amortisation charges	583,068	566,765	583,068	566,765
6.7	Other operating expenses	4,291,941	4,039,908	4,291,941	4,039,908
7	Total operating expenses	15,994,964	17,388,180	15,994,964	17,388,180
	Profit before tax and exceptional items	12,293,524	12,073,580	12,293,524	12,073,580
8	Exceptional items	-	-	-	-
9	Profit after exceptional items	12,293,524	12,073,580	12,293,524	12,073,580
10	Current tax	(4,354,831)	(3,612,757)	(4,354,831)	(3,612,757)
11	Deferred tax	448,653	(60,241)	448,653	(60,241)
12	Profit after tax and exceptional items	8,387,346	8,400,582	8,387,346	8,400,582
13	OTHER COMPREHENSIVE INCOME				
13.1	Gains/(Losses) from translating the financial statements of foreign operations				
13.2	Fair value changes in available for sale financial assets	132,829	(935,013)	132,829	(935,013)
13.3	Revaluation surplus on property, plant and equipment	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(39,849)	280,504	(39,849)	280,504
14	Other Comprehensive Income for the year net of tax	92,980	(654,509)	92,980	(654,509)
15	Total comprehensive income for the year	8,480,326	7,746,073	8,480,326	7,746,073
	Earnings per Share (Shs)	1.54	1.55	1.54	1.55
	Dividends per Share (Shs)	1.00	1.00	1.00	1.00

		Bank		Group	
		December 2014 Shs '000 Audited	December 2015 Shs '000 Audited	December 2014 Shs '000 Audited	December 2015 Shs '000 Audited
III	OTHER DISCLOSURES				
1)	Non-performing loans and advances				
a)	Gross non-performing loans and advances	6,136,924	5,336,166	6,136,924	5,336,166
b)	Less: Interest in suspense	1,582,498	1,454,488	1,582,498	1,454,488
c)	Total non-performing loans and advances	4,554,426	3,881,678	4,554,426	3,881,678
d)	Less: loan loss provisions	2,109,563	2,012,924	2,109,563	2,012,924
e)	Net non-performing loans(c-d)	2,444,863	1,868,754	2,444,863	1,868,754
f)	Discounted value of securities	1,041,711	811,108	1,041,711	811,108
g)	Net NPLs (Excess) / Exposure (e-f)	1,403,152	1,057,646	1,403,152	1,057,646
2)	Insider loans and advances				
a)	Directors, shareholders and associates	47,050	48,868	47,050	48,868
b)	Employees	10,109,247	13,409,431	10,109,247	13,409,431
c)	Total insider loans and advances	10,156,297	13,458,299	10,156,297	13,458,299
3)	Off Balance sheet items				
a)	Letters of credit guarantees acceptances	33,531,550	33,353,230	33,531,550	33,353,230
b)	Forwards, swaps and options	11,474,737	23,117,586	11,474,737	23,117,586
c)	Other contingent liabilities	3,177,300	4,662,700	3,177,300	4,662,700
	Total Contingent liabilities	48,183,587	61,133,516	48,183,587	61,133,516
4)	Capital Strength				
a)	Core capital	32,623,910	35,183,868	32,623,910	35,183,868
b)	Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess / (Deficiency)	31,623,910	34,183,868	31,623,910	34,183,868
d)	Supplementary capital	431,589	6,037,786	431,589	6,037,786
e)	Total capital	33,055,499	41,221,654	33,055,499	41,221,654
f)	**Total risk weighted assets**	**207,154,473**	**224,120,795**	**207,154,473**	**224,120,795**
g)	Core capital / total deposit liabilities	19.8%	21.3%	19.8%	21.3%
h)	Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%
i)	Excess / (Deficiency)	11.8%	13.3%	11.8%	13.3%
j)	Core capital / total risk weighted assets	15.7%	15.7%	15.7%	15.7%
k)	Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%
l)	Excess / (Deficiency)	5.2%	5.2%	5.2%	5.2%
m)	Total capital / total risk weighted assets	16.0%	18.4%	16.0%	18.4%
n)	Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%
o)	Excess / (Deficiency)	1.5%	3.9%	1.5%	3.9%
5	Liquidity				
a)	Liquidity ratio	44.2%	34.1%	44.2%	34.1%
b)	Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c)	Excess / (Deficiency)	24.2%	14.1%	24.2%	14.1%

Message from the Directors:

The Directors note that an interim dividend of Shs 0.20 per ordinary share of the Company was paid on October 9, 2015. As such, subject to the approval of the shareholders, the Directors have resolved to recommend to members at the forthcoming Annual General Meeting a final dividend for the year of Shs 0.80 per ordinary share of the Company to be paid on or about April 29, 2016 to shareholders registered at the close of business on March 30, 2016.

The above consolidated income statement and consolidated statement of financial position are extracts from the Bank's financial statements. The financial statements have been audited by PricewaterhouseCoopers and have received an unqualified opinion. A full set of these financial statements will be available at our registered office at The West End Building, Waiyaki Way and online at www.barclays.co.ke for inspection after approval at the Annual General Meeting to be held on April 29, 2016.

The financial statements were approved by the Board of Directors on March 4, 2016 and signed on its behalf by:

Jeremy Awori
Chief Executive Officer

Francis Okomo-Okello
Chairman

Yusuf Omari
Chief Financial Officer

Paul Ndungi
Company Secretary

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